

quired in financing products and capital structures. Deep-tech solutions and large-scale transition infrastructure demand patient, flexible capital that does not conform to rigid fund cycles or standard project finance models. Hybrid approaches—blending equity and debt, incorporating outcome-based incentives—will be essential to balance risk and attract a diverse range of investors.

India's net-zero transition also requires continued investment in large-scale infrastructure, manufacturing ecosystems, grid modernisation and supply chain upgrades. These are the enablers that will support the mainstreaming of new technologies. For this reason, collaboration across the financial landscape becomes critical. Sovereign investors, development

finance institutions, commercial banks, private markets, all have a role to play in creating interconnected pathways that channel capital efficiently and effectively.

Financing solutions must be tailored to the maturity and commercial readiness of a sector. Areas like renewable energy and electric mobility are now sufficiently advanced to attract commercial investment with limited risk sharing. However, nascent areas like energy storage, adaptation for MSMEs and agri economy may still require concessional or outcome-based capital and risk sharing mechanisms in the medium term. Over time, as these models mature, and market efficiency kicks in, they too can move towards commercialisation.

Regulatory frameworks also

have to keep pace—from enabling new fund formats and first-loss structures to ensuring that capital adequacy norms and credit rating systems account for transition risks and climate-linked investments. Ultimately, mobilising financing for India's net-zero transition is not simply about raising more capital. It is about building the right institutional capacity, designing smarter financial products and creating a regulatory environment that recognises and rewards innovation and long-term value creation.

Capital availability, though essential, is only one part of the equation. Markets must also be built and deepened. Clear price signals, long-term procurement commitments, demand aggregation platforms and stable policy environments will be instrumental in creating investable markets in emerging sectors such as green hydrogen, decentralised energy, advanced materials and the circular economy.

Governments will continue to play a pivotal role in creating conditions for market development and growth. By defining offtake requirements, setting standards and introducing outcome-linked incentives, policymakers are laying strong foundations that reduce risk and catalyse private investment. These measures send clear signals to the market, encouraging early participation and supporting the scale-up of emerging solutions. Government-backed frameworks for certification and benchmarking build trust and transparency across the value chain and lower financing costs, making innovation more accessible and investable. The moment to act decisively—to align capital with ambition and innovation with scale—is now. **BT**

Views are personal

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